



## East African Cables

Our Ref: EAC/MD-FA/138/07/14

15 July 2014

By Fax No. 2224200

Mr. Peter Mwangi  
Chief Executive Officer  
Nairobi Stock Exchange  
Nation Centre  
1<sup>st</sup> Floor, Kimathi Street  
P.O. Box 43633  
NAIROBI

Dear Mr. Mwangi

**RE: 2014 HALF YEAR UNAUDITED GROUP RESULTS**

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Enclosed herewith are the unaudited group results for the half year ended 30 June 2014 which will be published in the local dailies tomorrow 16 July 2014.

Yours sincerely  
**East African Cables Ltd**

**GEORGE C. MWANGI**  
**CHIEF EXECUTIVE OFFICER**

Encl.



Directors: Z.G. Mbugua (Chairman), G.C. Mwangi (C.E.O.), M.G. Waweru, P.T. Kanyago, B Thomas ( French), Gachao Kiuna, Mr. D.N. Awori

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**INTERIM STATEMENT TO SHAREHOLDERS**  
**GROUP UNAUDITED RESULTS FOR THE SIX MONTHS ENDED 30<sup>TH</sup> JUNE 2014**

**Consolidated Statement of Comprehensive Income for the six months ended 30 June 2014**

|                                         | 2014             | 2013             |
|-----------------------------------------|------------------|------------------|
|                                         | Kshs'000         | Kshs'000         |
| <b>Turnover</b>                         | <b>2,607,223</b> | <b>2,232,734</b> |
| Profit from operating activities        | 326,989          | 323,715          |
| Net finance costs                       | (479)            | (2,904)          |
| <b>Profit before income tax</b>         | <b>326,510</b>   | <b>320,811</b>   |
| Income tax expense                      | (94,688)         | (92,734)         |
| <b>Profit for the period</b>            | <b>231,822</b>   | <b>228,077</b>   |
| Profit from operations attributable to: |                  |                  |
| Equity holders of parent company        | 207,077          | 204,899          |
| Non-controlling interest                | 24,745           | 23,178           |
| <b>Profit for the period</b>            | <b>231,822</b>   | <b>228,077</b>   |
| Basic and Diluted Earnings per share    | <b>0.82</b>      | <b>0.81</b>      |

**Consolidated Statement of Financial Position as at 30 June 2014**

|                                     | 2014             | 2013             |
|-------------------------------------|------------------|------------------|
|                                     | Kshs'000         | Kshs'000         |
| <b>Assets</b>                       |                  |                  |
| Non-current assets                  | 3,721,235        | 3,160,783        |
| Current assets                      | 3,544,274        | 2,898,336        |
| <b>Total assets</b>                 | <b>7,265,509</b> | <b>6,059,119</b> |
| <b>Equity and liabilities</b>       |                  |                  |
| Share Capital                       | 126,563          | 126,563          |
| Reserves                            | 2,415,885        | 2,224,230        |
| Non-controlling interest            | 678,846          | 625,504          |
| Non-current liabilities             | 1,729,321        | 951,125          |
| Current liabilities                 | 2,314,894        | 2,131,697        |
| <b>Total equity and liabilities</b> | <b>7,265,509</b> | <b>6,059,119</b> |

**Consolidated Statement of Cash flows for the six months ended 30 June 2014**

|                                                 | 2014           | 2013             |
|-------------------------------------------------|----------------|------------------|
|                                                 | Kshs'000       | Kshs'000         |
| Cash(used)/ generated from operations           | 634,303        | (91,120)         |
| Income taxes paid                               | (77,253)       | (165,195)        |
| <b>Cash generated from operating activities</b> | <b>557,050</b> | <b>(256,315)</b> |
| Cash used in investing activities               | (608,675)      | (61,932)         |
| Cash used in financing activities               | 253,013        | 144,697          |
| <b>Decrease in cash and cash equivalents</b>    | <b>201,388</b> | <b>(173,551)</b> |
| Cash and cash equivalent at 1 January           | (61,438)       | 18,039           |
| <b>Cash and cash equivalent at 30 June</b>      | <b>139,950</b> | <b>(155,511)</b> |

**Consolidated Statement of Changes in Equity for the six months ended 30 June 2014**

|                                                               | 2014             | 2013             |
|---------------------------------------------------------------|------------------|------------------|
|                                                               | Kshs'000         | Kshs'000         |
| Share capital                                                 | 126,563          | 126,563          |
| Share premium                                                 | 545              | 545              |
| Revaluation reserve                                           | 925,556          | 925,556          |
| Revenue reserve                                               | 1,531,764        | 1,341,608        |
| Exchange reserve                                              | (41,980)         | (43,479)         |
| <b>Total equity attributable to equity holders of company</b> | <b>2,542,448</b> | <b>2,350,793</b> |
| Non-controlling interest                                      | 678,846          | 625,504          |
| <b>Total Equity</b>                                           | <b>3,221,294</b> | <b>2,976,296</b> |

**Commentary**

Our group revenue grew by 17% attributable to increased volumes driven by new markets. The London Metal Exchange prices declined by 12% in the same period but earnings remained stable due to growth in volumes and a change in the business mix.

In line with our strategy to venture in to new markets, the group is in the process of completing the modernization of our Kitui Road factory at a cost of Kshs 600 million. This will be completed in November 2014, resulting in additional capacity and flexibility to produce new products.

**By Order of the Board**

Virginia Ndunge

Company Secretary

Nairobi

July 16, 2014